LHV Group

OK

ANALYSIS DATE
2026-10-22

ISSUER RATING
Moody's: LHV Group senior unsecured Baa2 (positive outlook); LHV Pank deposits A3 (positive), updated 2025-09-01[1]

NEXT REPORT
October 2026 monthly results - 2026-11-17[2]

Position OK. Q3 profit was a record EUR 37.5m (EUR 26.3m a year ago), and the bank says it will meet its financial plan targets[3]. The capital buffer has narrowed: total capital is 20.25% against an internal target of 20.0%[4]. This matters most for the Tier 2 and AT1 bonds held.

NET PROFIT · 9M2026	ROE · 9M2026	CET1 RATIO · 9M2026	TOTAL CAPITAL RATIO · 9M2026
81.91 EUR m	14.0 %	15.28 %	20.25 %
▼ 5.0 % vs 9M2025	▼ 2.1 p. p. vs 9M2025	▼ 1.76 p. p. vs FY2025	▼ 3.05 p. p. vs 9M2025

01 Quick summary

- **Strong third quarter:** net profit EUR 37.5m (EUR 26.3m a year ago), ROE 19.3%. Nine-month profit EUR 81.9m, slightly below last year (EUR 86.2m)[5].
- **On track for the plan:** management says Q3 results were "firmly ahead of our financial plans" and the year's targets will be met. The 2026 plan is EUR 117.9m net profit[6,7].
- **Smaller capital buffer:** total capital 20.25% (YE2025 22.39%), CET1 15.28% (17.04%). The internal target is 20.0%[4].
- **Liquidity and MREL with headroom:** LCR 173.9%, MREL 35.04% of TREA versus a 24.59% requirement[8].
- **Loans growing:** loans to customers EUR 5,951m (+8.9% since YE2025; calculated by the tool), deposits EUR 7,735m[9].

02 Instruments held and ISINs

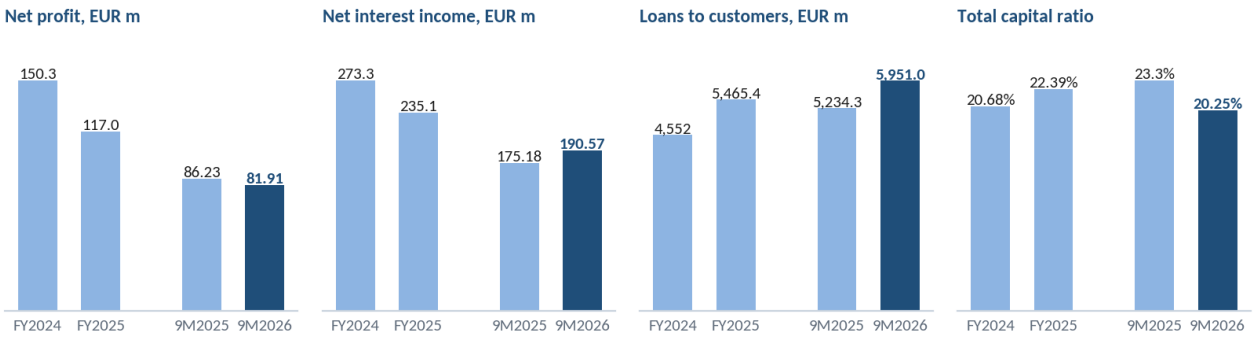
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
XS2822574245	LHV Group 5.375% senior notes 2028	5.375%	2028-05-24	Moody's Baa2 (senior unsecured (class rating, 2025-09-01))	Senior unsecured (holding company); callable 2027-05-24
XS3153067288	LHV Group 5.5% Tier 2 2035	5.5%	2035-09-16	no separate rating found	Subordinated Tier 2
EE3300004993	LHV Group 6.0% Tier 2 2034	6.0%	2034-11-15	no separate rating found	Subordinated Tier 2
XS2693753704	LHV Group senior FRN 2027	–	2027-10-03	Moody's Baa2 (senior unsecured (class rating, 2025-09-01))	Senior unsecured (holding company), floating rate; coupon not found in public sources read
XS3042781024	LHV Group 9.5% AT1 perpetual	9.5%	perpetual	no separate rating found	Additional Tier 1, perpetual; call date not found
XS3090105829	LHV Group 4.125% senior notes 2029	4.125%	2029-06-18	Moody's Baa2 (senior unsecured (class rating, 2025-09-01))	Senior unsecured (holding company); callable 2028-06-18

03 Key ratios

METRIC	FY2024	FY2025	9M2025	9M2026	CHANGE
Net profit, EUR m[10,11,5]	150.3*	117.0*	86.23*	81.91*	▼ 5.0 % vs 9M2025
Net interest income, EUR m[10,5]	273.3*	235.1*	175.18*	190.57*	▲ 8.8 % vs 9M2025
Total operating income, EUR m[10,5]	338.3*	304.8*	225.95*	232.69*	▲ 3.0 % vs 9M2025
Cost/income ratio[12,5]	43.4%*	52.3%*	51.7%*	**57.0%***	▲ 5.3 p. p. vs 9M2025
ROE[12,5]	24.5%*	16.0%*	16.1%*	**14.0%***	▼ 2.1 p. p. vs 9M2025
Net interest margin[12,5]	3.48%*	2.49%*	2.57%*	2.51%*	▼ 0.06 p. p. vs 9M2025
Loans to customers, EUR m[10,13,5]	4,552*	5,465.4*	5,234.3*	5,951.0*	▲ 13.7 % vs 9M2025
Customer deposits, EUR m[10,13,5]	6,910*	8,134.4*	7,452.9*	7,735.3*	▲ 3.8 % vs 9M2025
CET1 ratio[12,8,14]	16.89%*	17.04%*	–	**15.28%***	▼ 1.76 p. p. vs FY2025
Total capital ratio[12,8,15]	20.68%*	22.39%*	23.3%*	**20.25%***	▼ 3.05 p. p. vs 9M2025
Leverage ratio[12]	6.71%*	**7.0%***	–	–	▲ 0.29 p. p. vs FY2024
MREL (% of TREA)[12,8]	33.24%*	34.73%*	–	35.04%*	▲ 0.31 p. p. vs FY2025
LCR[12,8]	187.5%*	185.0%*	–	**173.9%***	▼ 11.1 p. p. vs FY2025
NSFR[12]	154.4%*	**156.8%***	–	–	▲ 2.4 p. p. vs FY2024
NPL ratio[16]	–	–	–	**1.2%ᶜ**	–

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



04 Business performance review

- Nine-month net interest income EUR 190.6m (+8.8%), total income EUR 232.7m (+3.0%; changes calculated by the tool). Q3 net interest margin 2.80% (2.36% a year ago)[5].
- Nine-month cost/income 57.0% (51.7% a year ago). EUR 8.9m of provisions were released in Q3, so loan losses had no negative impact[17].
- **LHV Bank (UK) is behind plan:** profit before tax GBP 4.7m versus GBP 7.2m planned; GBP 10m of CET1 capital injected in September[18].
- Stage 3 (non-performing) loans EUR 72.4m, about 1.2% of loans (calculated by the tool)[16].

05 Financials

- **FY2025 net profit EUR 117.0m (2024:** 150.3m), ROE 16.0% (24.5%): lower interest rates reduced interest income. The bank missed its 2025 targets, with profitability 6.5% short[19].
- Year-end 2025 capital ratios were restated after an ECB inspection: CET1 17.04% (annual report: 17.42%), total capital 22.39% (22.85%). The ECB imposed a EUR 0.4m penalty for wrongly calculated risk-weighted assets related to the investment in the UK entity[8,20].
- **Dividends:** EUR 57.9m paid in 9M 2026; dividend per share for 2025 EUR 0.09 (2024: EUR 0.13)[21,12].

06 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
2026 financial plan: EUR 117.9m net profit, ROE 15.0%, total capital 20.9%	9M: EUR 81.9m profit, ROE 14.0%; management expects to meet the targets[7,3]	In progress: Q3 results are ahead of plan thanks to higher interest income and provision releases[22]. Capital (20.25%) is currently below the 20.9% plan[14].	**In progress**
2025 financial plan	Missed: profitability 6.5% below plan[11]	Missed: interest rates fell faster than expected and net interest income dropped from EUR 273.3m to 235.1m[23].	**Not met**
More than double net profit by 2030 (plan for 2030: EUR 290.2m), ROE target 20%	Long-term target; 2026 progress in line with plan[24,7]	New target announced in the 2025 annual report[25].	**In progress**
Dividend policy: dividends including taxes 25% of pre-tax profit, without hurting capital targets	For 2025: EUR 0.09 per share; 2026 plan: EUR 0.08[26]	Paid in line with the policy[27].	**Met**

07 Investor information & conclusions

- **Instruments held (all issued by LHV Group, the holding company):** three senior unsecured bonds, 5.375% 2028 (call 2027-05-24, EUR 300m), 4.125% 2029 (call 2028-06-18, EUR 60m) and an FRN due 2027-10-03 (EUR 100m); two Tier 2, 6.0% 2034 (EUR 20m) and 5.5% 2035 (EUR 80m); and a 9.5% perpetual AT1 (EUR 50m)[28,29,30].
- **Rating:** Moody's rates LHV Group senior unsecured debt Baa2 with a positive outlook[1].
- **For subordinated bonds:** total capital of 20.25% is only slightly above the internal 20.0% target, while MREL of 35.04% is above the 30.59% level that gates dividends[4]. AT1 coupons are therefore more sensitive to capital than the senior bonds.
- **2026 funding:** a new EUR 200m 4.50% senior bond (2030) and a EUR 15m 8.0% AT1 were issued; the EUR 20m 7.0% bond EE3300003250 was redeemed early[29,30].
- **Conclusion:** profitability is recovering and the plan is on track; liquidity and MREL have headroom. The capital buffer is smaller, but the bank stays within its internal target.

08 In the press

Automatic news scan (Google News, EE), 2026-07-24 – 2026-10-22: 11 articles.

2026-10-05	MANAGEMENT	INTERVJUU ⟩ Coop Panga juht: me oleme rõõmsad LHVst tulevate töötajate ja klientide üle Majandus
2026-09-23	MANAGEMENT	LHV juhatuse liige: ettevõtjad mängivad ellujäämise mängu. “Ärge kartke Rain Lõhmust!” Äripäev
2026-10-20	RESULTS	LHV Groupi 2026. aasta III kvartali ja 9 kuu auditeerimata majandustulemused GlobeNewswire · 2 more similar articles
2026-10-13	RESULTS	AS LHV Group 2026. aasta III kvartali majandustulemuste tutvustamise veebiseminar GlobeNewswire · 1 more similar articles
2026-10-22	OTHER	Kuhu investeeriti LHV Kasvukontoga III kvartalis 2026? LHV
2026-10-20	OTHER	LHV Groupi 20. oktoobri investorkohtumise salvestus GlobeNewswire
2026-10-12	OTHER	LHV Bank Limited tegevjuhiks nimetati Damian Thompson GlobeNewswire
2026-10-01	OTHER	Mis aktsiaid ostsid ja müüsid LHV kliendid septembris? LHV Finantsportaal

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

☑ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**

- The bank is not active in excluded sectors.
- It publishes a list of activities that go against its credit policy[31].
- The credit policy rules out lending to customers with clear evidence of human rights violations or serious environmental harm[32].

☑ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**

- No UN Global Compact or OECD related controversies found (quick search, 2026-10-22).
- The only supervisory penalty is a EUR 0.4m ECB fine over risk-weighted asset calculation[20].

☑ **Yes, the company is not in the list of sanctions (add a screenshot)**

- Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-22).

☑ **Yes, issues were not identified from adverse media checks (add a screenshot)**
- No adverse news about LHV found (search in Estonian and English, 2026-10-22).
- The main case has LHV as the claimant: in July 2025 the bank notified the Financial Intelligence Unit of its intent to claim a EUR 247.5m contractual penalty, because the unit accessed LHV client account statements 1,289 times without legal basis[33].
- News summary 2026-07-24 – 2026-10-22: 11 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

☑ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**

Sustainable products
- Energy-efficient home loans, EV leasing, apartment renovation and energy project loans, the EIF sustainable loan programme[32].

Targets
- At least 50% of new mortgages for A and B energy class housing, 100% renewable electricity by 2030[34].
- No financing of new diesel passenger cars from 2030[35].

☑ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
- Aims to contribute to the Paris Agreement goals and the transition to a climate-neutral economy by 2050[36].
- Green asset ratio 4.86%[37].

☑ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
- No yellow flags found.

☑ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

Applicable
- No SEB sector policy for banks, so the Investments policy and the Environmental and Social & Human Rights policies apply[38].

Met
- Activity exclusion list[31]
- Human rights and environmental criteria in the credit policy[32]
- Human rights risk assessment[39]
- Climate targets[34]
- ESG policy[31].

Could be improved
- Financed emissions (PCAF) are not disclosed as figures[40].

Additional comments:

ENGAGEMENT

☐ **Is there a need for pro-active engagement with the company?**
- No need: the bank is profitable, liquidity and MREL have headroom and ESG practice is in order.

Additional comments:

INDICATORS

☑ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- Own Scope 1 emissions 0 t CO2e, Scope 3 573,454 t CO2e in 2025[41]
- Green asset ratio 4.86%[37]
- Women on the Group management and supervisory boards 30%[42].

Additional comments:

Conclusion: No exclusions or red flags. Sustainable products and clear climate targets; financed emissions are not yet disclosed as figures.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Financial sector - no dedicated SEB sector policy (thematic policies applied); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

1. LHV Group - Credit rating, 2026-10-22
2. LHV Group - Interim report January-September 2026, 2026-10
3. LHV Group - Interim report January-September 2026, p. 4, 6, 2026-10
4. LHV Group - Interim report January-September 2026, p. 10-11, 2026-10
5. LHV Group - Interim report January-September 2026, p. 6, 2026-10
6. LHV Group - Interim report January-September 2026, p. 4, 2026-10
7. LHV Group - Financial forecasts (financial plan 2026), 2026
8. LHV Group - Interim report January-September 2026, p. 10, 2026-10
9. LHV Group - Interim report January-September 2026, p. 6, 19, 2026-10
10. LHV Group - Consolidated annual report 2025, p. 14, 2026
11. LHV Group - Consolidated annual report 2025, p. 8, 2026
12. LHV Group - Consolidated annual report 2025, p. 15, 2026
13. LHV Group - Interim report January-September 2026, p. 19, 2026-10
14. LHV Group - Interim report January-September 2026, p. 11, 2026-10
15. LHV Group - Interim report January-September 2026, p. 2, 2026-10
16. LHV Group - Interim report January-September 2026, p. 12, 2026-10
17. LHV Group - Interim report January-September 2026, p. 6, 18, 2026-10
18. LHV Group - Interim report January-September 2026, p. 15, 2026-10
19. LHV Group - Consolidated annual report 2025, p. 8, 14-15, 2026
20. LHV Group - Consolidated annual report 2025, p. 13, 2026
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27. LHV Group - Consolidated annual report 2025, p. 15, 18, 2026
28. LHV Group - Consolidated annual report 2025, p. 17, 2026
29. LHV Group - Senior bonds, 2026-10-22
30. LHV Group - Subordinated bonds, 2026-10-22
31. LHV - ESG, 2026-10-22
32. LHV Group - Annual sustainability report 2025, p. 80, 2026
33. ERR - LHV nõuab rahapesu andmebüroolt pangasaladuse asjas 247 miljonit, 2025-07-25
34. LHV Group - Annual sustainability report 2025, p. 97, 2026
35. LHV Group - Annual sustainability report 2025, p. 81, 2026
36. LHV Group - Annual sustainability report 2025, p. 80, 86, 2026
37. LHV Group - Annual sustainability report 2025, p. 95, 2026
38. SEB Policy on Sustainability Considerations in Investments (2026-04-15), p. 5, 7, 2026-04-15
39. LHV Group - Annual sustainability report 2025, p. 90, 2026
40. LHV Group - Annual sustainability report 2025, p. 88, 2026
41. LHV Group - Annual sustainability report 2025, p. 98, 2026
42. LHV Group - Annual sustainability report 2025, p. 85, 2026

Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.